

Century Enka Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: CENTENKA · BSE: 500280 · Aditya Birla Group · Report prepared 3 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

What the company does, in one paragraph. Century Enka spins **nylon** — a man-made fibre — into two things. First, **nylon filament yarn (NFY)**: continuous thread sold to weavers in Surat and elsewhere, who turn it into sarees, dress material, sportswear and luggage fabric. Second, **nylon tyre cord fabric (NTCF)**: a coarse woven fabric sold to tyre makers, which sits inside a tyre as its skeleton and stops it bursting — used mainly in tractor, two-wheeler, three-wheeler and truck tyres. It buys the chemical feedstock **caprolactam** and **nylon chips** (about 20–25% of India's needs are imported, mostly from China), melts and spins them, and sells the yarn on. Profit is the **spread** — the gap between what it pays for chemicals and what it charges for yarn. That gap swings with crude oil and with Chinese import prices, and the company controls neither. Throughout, **EBITDA** means operating profit before interest, tax and depreciation; **MTPA** means metric tonnes per annum.

1 Snapshot

Measure	Value	What it means in plain English
Market cap	₹1,359 cr	What the whole company is worth on the stock market — a small-cap.
Price vs book value	₹622 / ₹687	The share trades below the accounting value of the company's own assets (0.9x). The market does not believe this business earns its cost of capital.
FY26 revenue	₹1,705 cr	Sales in the year to March 2026 — down 15% on FY25's ₹2,002 cr, and well below FY22's ₹2,098 cr. Revenue has not grown in five years.
FY26 net profit	₹102 cr	Up 52% on FY25's ₹67 cr — on <i>lower</i> sales. All of the improvement came from margin, none from growth.
FY26 operating margin	8.7%	About nine paise of operating profit per rupee of sales. Thin, and it has ranged from 4.8% to 13% in the last five years.
Q1 FY27 (this quarter)	₹554 cr / ₹86 cr	Revenue and EBITDA. The best quarter in the company's history — margin 15.5%. Roughly half of that EBITDA is a one-off inventory effect (see below).
Trailing-12-month profit	₹148 cr	Last four quarters combined, versus ₹102 cr for FY26 — flattered by the single quarter this report is about.
Borrowings (Mar 26)	₹22 cr	Against ₹1,501 cr of net worth and ₹493 cr of investments. Effectively debt-free with a large idle cash pile.
ROCE (FY26)	8.3%	Return on the capital employed in the business. Poor — it has beaten 12% only twice in eleven years. This is the core problem.
Sales volume FY26	73,692 MT	Down 6% on FY25. Against 92,000 MTPA of capacity, that is ~80% utilisation. Volumes have gone nowhere for years.
Promoter holding	24.87%	Unusually low for an Aditya Birla Group company, and unchanged for three years. No promoter buying despite the sub-book valuation.

2 Concall coverage

Quarter	Call date	Transcript read?
Q2 FY24	3 Nov 2023	Yes
Q3 FY24	24 Jan 2024	Yes
Q4 / FY24	17 May 2024	Yes
Q1 FY25	7 Aug 2024	Yes
Q2 FY25	8 Nov 2024	Yes
Q3 FY25	12 Feb 2025	Yes
Q4 / FY25	7 May 2025	Yes

Q1 FY26	4 Aug 2025	Yes
Q2 FY26	10 Nov 2025	Yes
Q3 FY26	9 Feb 2026	Yes
Q4 / FY26	22 May 2026	Yes
Q1 FY27	29 Jul 2026	Yes — latest call, read in full ★

Coverage note — read this before the analysis. Screener lists **25 concall rows** for Century Enka. Only **18 of them carry an actual transcript link**; all 18 were downloaded and none was missed. The **seven rows with no transcript** — Feb 2022, Mar 2022, a second Aug 2022 row, Dec 2023, Jul 2024, Sep 2024 and Jul 2025 — carry only a slide deck or an AI summary. On inspection these are analyst-meet and annual-general-meeting presentations, not separate quarterly earnings calls, so **every quarterly results call from Q4 FY22 to Q1 FY27 is covered by a real transcript** and there is no gap in the quarterly sequence. The twelve calls tabled above (Q2 FY24 → Q1 FY27, three full years) were deep-read. The six older transcripts (May 2022 → Aug 2023) were also read, specifically to trace how long the PTCF promise in Section 4 has been outstanding.

★ Latest concall highlights — Q1 FY27 (call held 29 July 2026)

- **Record quarter on every line.** Revenue ₹554 cr, up 38% on last year and 15% on the March quarter. EBITDA ₹86 cr against ₹20 cr a year ago — a 331% jump — taking operating margin to **15.5%** from 4.9%. Profit after tax ₹62 cr versus ₹15 cr. The best numbers the company has ever printed.
- **But management put a ₹46.24 cr one-off inside it, and said so unprompted.** Asked to quantify the inventory gain, the Managing Director pointed to the ₹46.24 cr inventory line in the filed results and refused to break it down further. **If that figure is the bulk of the benefit, underlying EBITDA is roughly ₹40 cr — about 7% margin, exactly the bottom of the company's own guided range.** The gain arose because the Iran conflict spiked caprolactam prices in March, and Century Enka was still consuming cheap stock bought before it.
- **Volumes went down sequentially.** 19,199 tonnes, up 12% on last year but **below the March quarter's 20,711 tonnes**. Revenue rose 15% quarter-on-quarter on *7% fewer* tonnes — so the entire sequential jump was price, not more product sold.
- **Management refused to raise its margin guidance.** Pressed three separate times whether 10%+ margins are the new normal, the MD held the line: "we do maintain our last conversation on margins, which is that it would be between 7% to 10% on a normalized basis," and said margins "are expected to normalize" as expensive stock is consumed.
- **The anti-dumping duty failed again.** The trade regulator DGTR ruled in the industry's favour, but "the Finance Ministry did not notify the anti-dumping duty, despite favorable findings by DGTR." Cheap Chinese yarn keeps coming. **PTCF** (polyester tyre cord fabric, the ₹100 cr project for passenger-car tyres) is still not selling commercially — now promised for the second half of FY27.

Business mix & capacity. Two products, roughly half and half. In Q1 FY27 tyre cord fabric was ₹306 cr of sales (up 69%) and filament yarn ₹230 cr (up 20%) — the tyre-cord half is currently the faster horse, lifted by the September-2025 GST cut on tyres and cars. Over FY26 as a whole the split was almost exactly even: reinforcement ₹816 cr, filament yarn ₹828 cr. **Exports are only 4–5% of revenue** — management's own figure. This is a domestic business with a domestic customer base, which is why cheap imports hurt it directly and why the failed anti-dumping duty matters so much. **Capacity is 92,000 MTPA** across all products. Utilisation ran **~80% for FY26, ~85% in Q4 FY26 and 85–90% in Q1 FY27** — improving, but the company sold fewer tonnes in FY26 than FY25 and is adding almost nothing: only 2–4 KT of new mother-yarn capacity, commissioning in **FY28. The product split is not disclosed.** Century Enka reports as a single segment and management stated plainly it "will not be able to give the breakups of various products as part of the capacity," nor the share of revenue from value-added products, nor the exact EBITDA impact of the inventory gain. An investor cannot verify the mix-improvement claim from published data — it has to be taken on trust.

★ 3. Earning-trigger thesis

Management's story is **margin, not growth** — and they are refreshingly open about that. Asked directly about volumes, the MD said: "we are not adding any significant volumes in the current financial year... the focus is more on the value addition and improving margins on the volumes that we sell." The claimed engine has three parts: shift the yarn mix from commodity thread that competes head-on with Chinese imports into **customer-specific value-added products** that earn roughly 20% more margin; cut the power bill by taking **renewable electricity** from

about 36–40% of consumption toward 50%; and finally start selling **PTCF** into passenger-car tyres. Those are real, sensible levers, and FY26's margin did rise from 5.7% to 8.7% on falling sales — evidence something structural is working. **But none of them explains this quarter.** Q1 FY27's 15.5% margin came from a war-driven raw-material spike that left the company sitting on cheap stock, worth up to ₹46.24 cr on a ₹86 cr EBITDA. Management said so first, and refused to raise guidance above 7–10%. Take them at their word.

Trigger	What management said	Evidence so far	Horizon	Strength
Value-added yarn mix	Convert "almost entirely" the commodity products into customer-specific yarn; earns "about 20% additional margin." Value-added was 25–30% of yarn sales in FY25, targeted at 50–60% "in a 2–3 year period."	Real. FY26 margin rose 5.7% → 8.7% while revenue fell 15% — that gap can only be mix and cost, and it let management raise steady-state guidance from 6–8% to 7–10%. But the current share is never disclosed ; single-segment reporting makes it unverifiable.	Ongoing	Moderate Genuine and visible in the margin, but unquantified and unauditable.
Renewable power	Group-captive solar/wind at Bharuch. 36% of power in FY26 → 40% in Q1 FY27 → ~48–50% once Phase 2 (10.5 MW) commissions in Q3 FY27.	Delivered so far, and cheap: only ₹8.5 cr of equity for a 26% stake in each captive JV. Against a ~₹190 cr annual power bill this is a durable few-crore-a-quarter saving.	1–2 yrs	Strong Small in absolute terms, but real, permanent and already partly banked.
PTCF (car-tyre fabric)	₹103 cr spent, 4,000–5,000 MTPA plant commissioned March 2024. Peak revenue "₹100–120 cr." Commercial sales "expected to commence in H2 FY27."	Zero commercial revenue in the 2¼ years since the plant was built. First promised for Q3 FY25; now H2 FY27 — eight quarters late. The promised margin was cut from "in excess of 10%" (Feb 2025) to 6–8% (Aug 2025). The plant makes plain industrial yarn at 75–80% to avoid idling.	Slipped 8 qtrs	Weak ₹103 cr that has not yet done the job it was bought for. Even at full success it is ~6% of revenue.
Anti-dumping duty on nylon yarn	Imports are 20–25% of Indian demand, mostly Chinese; a duty "would have a favorable impact on our financials."	Not happening. DGTR has now recommended duties three separate times since 2022–23 and the Finance Ministry has declined to notify every time — most recently this quarter. Chinese NFY imports rose 50–70% in Q3 FY26.	Unknowable	Weak Free option, repeatedly denied. Do not underwrite it.
Tyre-cord demand from the GST cut	September-2025 GST reduction on tyres and vehicles drove "healthy growth across all automotive segments."	Real and visible — tyre-cord sales +69% year-on-year in Q1 FY27. But this is a one-time demand reset, not a compounding driver, and the MD flagged a possible air-pocket from crude, inflation and imports.	2–4 qtrs	Moderate A genuine cyclical tailwind with a visible expiry.
Raw-material spread swing	"One-time inventory gains arising from low-cost opening stock"; margins "expected to normalize."	₹46.24 cr inventory line against ₹86 cr EBITDA. Caprolactam went from a record low (~\$1,200 in Q2 FY26) to a sharp Iran-war spike in March 2026.	1–2 qtrs	Not durable Management says it reverses. It will.

4 Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY24 (Nov 23)	Sustainable operating margin cut to 6–8% , down from the 8–10% promised when the big capex was sanctioned. FY25 revenue growth of "15% to 20%."	The cut was volunteered and explained (Chinese pricing pressure). FY25 revenue grew 15% — the bottom of the range, but inside it.	Delivered
Q2 FY24 → Q1 FY25	PTCF plant to be commissioned Q4 FY24; NFY and NTCF expansions likewise; total capex programme of over ₹300 cr.	All built, on or ahead of time. NFY expansion came a quarter early (Dec 2023); PTCF spinning commissioned March 2024; FY24 capex ₹115 cr. On construction, this management does what it says.	Delivered
Q2 FY24 (Nov 23)	PTCF commercial results "mainly from Q3 FY25 onwards"; roughly ₹100 cr of new revenue.	The central broken promise. Re-dated seven times: Q3 FY25 → withdrawn → Q1 FY26 → Q4 FY25 → Q1/Q2 FY26 → Q4 FY26 → FY27 → H2 FY27. Still nothing sold commercially. In Aug 2025 the date was simply not mentioned rather than revised.	Missed badly
Q3 FY25 (Feb 25)	PTCF at peak capacity: "₹110 to 120 crores and margins at least in excess of 10%, EBITDA margins."	Downgraded twice without prompting from analysts — to "similar" to nylon tyre cord (May 2025), then to "between 6% to 8%" (Aug 2025). The economics of the project were quietly halved.	Walked back
Q3 FY25 (Feb 25)	BIS quality-control order on nylon yarn "maybe in Quarter 1 itself" of FY26; renewable-power expansion at Bharuch "by middle of next financial year."	The BIS order was never notified and was never mentioned again. The renewable expansion slipped to Q3 FY27 — two years late. Neither miss was acknowledged.	Missed silently
Q4 FY25 (May 25)	Fire-damaged Bharuch nylon-yarn plant "fully operational by the end of June." FY26 volume growth of "5% to 10%."	The plant restart was delivered exactly on time and ran at 90–95% from June 2025. The volume promise went the other way: FY26 volumes fell 6% to 73,692 tonnes. It was never repeated or withdrawn.	Split
Q4 FY25 → Q1 FY26	Steady-state operating margin "between 6% to 8%."	FY26 came in at 8.7% — above the band, on 15% lower sales. Management admitted in Aug 2025 that it was then running below the band, and did not pretend otherwise.	Beat
Q4 FY26 (May 26)	Guidance raised for the first time in three years: "we have been normally talking of an operating margin of about 6% to 8%... we now feel... our operating margin could be in the range of 7% to 10%," on the strength of cheaper power and better mix.	Q1 FY27 printed 15.5%. Rather than claim the upgrade, management pointed at the ₹46.24 cr inventory line and reaffirmed 7–10%.	Credible
Q1 FY27 (Jul 26)	PTCF commercial sales in H2 FY27; renewable share to ~50% in Q3 FY27; capex "over ₹100 crores" this year; mother-yarn capacity +3–4 KT in FY28.	All pending. Given the record above, the power and capex promises are the believable ones and the PTCF date is not.	Too early

Narrative drift. The strategy itself has not drifted at all — same two products, same "move up the value chain and out of commodity yarn" message in every call for four years, no adventures into unrelated businesses, no acquisitions, no debt. What drifts is **dates**. Three separate promises have been quietly abandoned rather than corrected: the BIS quality-control order promised for Q1 FY26, the 5–10% FY26 volume growth that turned into –6%, and the PTCF commercial-sales date that vanished from the August 2025 call entirely. On the last one management did eventually own the misjudgement when

an analyst forced it — "we had estimated that it would take shorter time, but I think this is a learning that any new product... goes through a different process" — which is more candour than most managements offer. There is also a pattern of **never quantifying anything inconvenient**: the inventory loss in FY25 was refused, the value-added share is refused, the product-level capacity split is refused, and even this quarter's inventory gain was answered by pointing at a filed line item rather than giving the EBITDA effect. Set against that, the handling of the windfall quarter is genuinely to their credit — they flagged it as one-off in the opening remarks before any analyst asked, and turned down three separate invitations to raise the margin guidance.

5 Bottom line — two verdicts

Durable earning trigger? → MAYBE — and the durable part is small

Something real did happen to this business. Operating margin went 4.8% (FY24) → 5.7% (FY25) → **8.7% (FY26)** while revenue *fell* 15%, and in May 2026 management raised its own steady-state guidance from 6–8% to 7–10% for the first time in three years. That improvement cannot be a raw-material fluke — falling sales with rising margin is the signature of mix and cost, and the two named levers are credible: value-added yarn that earns about 20% more margin, and group-captive renewable power going from 36% to ~50% of a ₹190 cr annual electricity bill for only ₹8.5 cr of equity per project. **But do not read this quarter as proof of it.** Q1 FY27's 15.5% margin sits on a ₹46.24 cr inventory line that management flagged as a one-off caused by the Iran conflict; strip it out and EBITDA is roughly ₹40 cr, a ~7% margin, exactly the floor of their own range. Volumes actually *fell* 7% from the March quarter. Three hard limits keep this from a Yes. **There is no growth engine** — revenue is lower than FY22, volumes have shrunk for two straight years, capacity is 92,000 tonnes with only 2–4 KT being added in FY28, and the MD said plainly "we are not adding any significant volumes." **The one real growth project has failed so far** — ₹103 cr of PTCF plant, built on time in March 2024, has produced zero commercial revenue in two and a quarter years, and its promised margin was cut from over 10% to 6–8%. **And the returns are poor** — ROCE was 8.3% in FY26 with ₹493 cr of investments sitting idle on the balance sheet, which is precisely why the share trades below its book value. This is a cyclical spread business earning a slightly better spread than it used to. That is worth something; it is not a compounding trigger.

Management consistent? → MAYBE — honest about the past, unreliable on dates

The record splits cleanly, and the split is stark. **On anything physical they deliver.** Every plant in the ₹300 cr-plus capex programme was commissioned on or ahead of schedule, the nylon-yarn expansion arrived a quarter early, the fire-damaged Bharuch plant came back "by the end of June" exactly as promised and ran at 90–95%, the renewable projects work, and the balance sheet is genuinely debt-free. **On anything they forecast about markets, approvals or policy, they are wrong and then quiet.** PTCF commercial sales have been re-dated seven times over eleven quarters and still have not happened; the BIS quality-control order promised for Q1 FY26 was never notified and never mentioned again; FY26 volume growth guided at 5–10% came in at –6% and was neither repeated nor withdrawn; the Bharuch renewable expansion promised for mid-FY26 is now Q3 FY27. Abandoning a target silently rather than correcting it is drift, and it has happened three times. Against that sit two things that stop this being a No. First, when an analyst directly confronted the PTCF delay in May 2025, the MD owned it — "we had estimated that it would take shorter time, but I think this is a learning" — rather than blaming customers. Second, and more telling, is how they handled the best quarter in the company's history: they disclosed the one-off in the opening remarks before anyone asked, pointed the questioner to the exact ₹46.24 cr figure, said margins "are expected to normalize," and refused three separate invitations to guide 10%+ margins forward. A management that talks down its own record quarter is not one that is managing the narrative. They are trustworthy about what has happened; treat their dates as aspirations.

Sources: Eighteen Century Enka Ltd earnings-call transcripts filed with BSE/NSE, Q4 FY22 (May 2022) through Q1 FY27 (29 Jul 2026), sourced from Screener.in — the twelve calls from Q2 FY24 onward deep-read, the six earlier ones read for the PTCF and anti-dumping history; Screener.in financial history (profit & loss, balance sheet, cash flow, ratios, quarterly results, shareholding) as at 3 Aug 2026.

A note on the numbers: Century Enka reports as a *single business segment*, so product-level capacity, utilisation, value-added share and segment margins are not disclosed and cannot be independently checked. Revenue and volume splits quoted here are the only ones management gives out, from the quarterly investor presentations. Screener's quarterly table shows Q1 FY27 PAT of ₹61 cr against management's "around ₹62 cr" — a rounding difference, not a discrepancy.